

they are almost surely less stupid than the things the typical citizen does on his own.

There is still one other reason to invest through mutual funds rather than on your own. It gives you someone to blame if there's a screw-up or the market takes a prolonged dive. "Gee, honey," you can explain to your spouse when you inform him or her that the money to refurbish the family room just isn't there this year, "it wasn't my fault. I know I'm no expert, so I went to the professionals. It was that damn fool in Chicago who lost our money, not me."

Picking One from Column B

How do you pick a good mutual fund? I've always had a ready answer: "Alphabetically."

The number of funds that have come into being in the last few years is staggering. At least it has staggered me. There has to be some kind of limit to this growth. I've decided it's the point at which there is one fund per capita. When we reach the day when there are more mutual funds than there are people, then the growth rate will start to slow down.

There is such extensive coverage of mutual funds today, in half a dozen magazines and from various services, that I can't believe you need my help in identifying the good ones. Or at least in eliminating the bad ones. Most of the rankings and grading systems are based on performance, and though past good performance is no guarantee of future good performance, you probably don't want to pick a fund with an absolutely god-awful ten-year record.

But as for the leaders in the rankings, knowing what a fund did last year or the last three years (and you'd better make sure the manager who created those numbers is still in charge) gives you only a meager indication of what it's likely to do in the next year or three years. You have to send for the prospectus of any fund that interests you and really read it, along with any other literature in-